Misunderstood Stocks in Data Center Power, Cybersecurity, and Payments | Dean & Deiya Pernas

Podcast: Monetary matters

AI Executive Summary

1. Core Thesis: The Pernas brothers argue that the current market environment favors active managers who identify undervalued beneficiaries within AI infrastructure expansion, capitalizing on supply-side bottlenecks (energy/power) rather than purely speculative demand layers like frontier models. They posit a "buy-side" philosophy based on rigorous conviction and auditability over sell-side bias, utilizing structural shifts—specifically open-weight AI reducing hyperscaler pricing power but increasing compute/infrastructure ROI—as an opportunity to trade into infrastructure plays while avoiding vulnerable software names with high stock-based compensation or unsustainable growth rates.

2. Key Arguments & Data:

3. **AI Ecosystem Shift:** The market is questioning if Open-Weight models still benefit frontier labs, though the Pernas believe they commoditize frontiers and increase demand for all other layers (infrastructure/GPU providers). Enterprises will use open weights at lower cost (~90% savings on input), shifting ROI away from cloud providers who control GPUs.
4. **Energy Demand:** US energy grid cannot support 10GW of new data center power by 2030 due to transmission bottlenecks (comparable to widening a two-lane highway). Hyperscalers must bring their own power; "Bring Your Own Energy" is the strongest theme for the next 3–5 years.
5. **Valuation & Performance:** Core portfolio companies trade at attractive multiples compared to hyperscalers: Capstone energy trades ~3x revenue (vs 10-20x EV/Sales on competitors), and Tenable Cybersecurity trades <4x P/E/sales vs rivals >20x.
6. **Specific Holdings & Performance:**
    - **Capstone Energy:** Small microturbines for edge data centers; initiated August 5th, peak May 29th (1,131% return), currently down significantly but still up ~54%. Capacity is only at ~10%, with significant demand from hyperscalers and manufacturing.

    - **Stabilis Solutions:** Specializes in portable natural gas ("virtual pipelines") for data centers lacking grid access; recent 2-year contract + SpaceX customer growth driving valuation. Market cap <75M (small/specialized).
    - **SmartOptics (SW):** Bandwidth solutions bridging distributed monolithic silos to facilitate trading/inference across multiple gigawatt sites. Recently US listed.
    - **Vichay Precision Group:** Play on robotics AI brains; makes strain sensors/gauges for humanoid hands. Prototype mode, three major customers identified. Hit rate ~1% per company researched (~1 in 10).
7. **Cybersecurity Narrative Shift:** Cyber threats have shifted from identity-based attacks to software vulnerability exploitation via frontier models (cost of finding exploits is dropping). Exposure management (identifying and quantifying attack surface) has replaced generic scanner trends. Tenable's "exposure management" platform offers a moat against commoditization.
8. **Upwork & Marketplace Economy:** Contrarian view that Upwork will survive AI displacement due to the value of high-value expert consulting which humans cannot fully replace, plus increased efficiency for experts via AI usage (150+ job types vs low-value logo creation). Valuation <6x EV/Sales despite growth slowdown.

9. **Meta Strategy:** Bearish on Meta; sold positions in December 2024 due to confusion over cloud strategy and lack of ROI clarity compared to Microsoft/Google's rational capital allocation. AI spend is currently defensive (fear TikTok metaverse competition) rather than strategic profit driver.

10. Actionable Takeaways:

11. **Investment Strategy:** Avoid broad index bets in hyperscalers with high valuations if you believe they lack clear return-on-capital expenditure clarity; instead, look into their infrastructure enablers and beneficiaries (power providers like Capstone/Stabilis).
12. **Portfolio Management:** Adopt a tiered portfolio structure: Core positions for 70% batting average growth potential over long horizons,

Starter positions (<3%) for momentum that can upgrade to core, and Speculative weights (<5%) where downside protection is low but upside multiples are high.

13. **Sector Focus:** Prioritize "Buy-side" research by focusing on tangible moats (e.g., proprietary data/brand trust like Upwork or Wise) rather than software utility which faces AI commoditization risks unless it solves logistics/construction issues. Look at Exposure Management as the dominant cybersecurity theme over generic vulnerability scanning.
14. **Valuation Discipline:** Be wary of companies with high stock-based compensation masking weak fundamentals (e.g., many SaaS firms), even if growth slows temporarily; focus on companies that can normalize expenses and generate operating profit gaps.
15. **Subscription Access:** To gain access to the Pernas Research portfolio, closed positions tracking system ("Pernaz"), initiation reports, and weekly research updates for a 20% discount (billed quarterly).

Full Transcript

Today I'm sitting down with Daya and Dean Pernas of Pernas Research. We're going to be talking about some of the most important themes and trends in investing such as energy power and data centers, software, AI, cybersecurity payments. The Pernas brothers are good not only at generating compelling investing ideas. They're also great investors. They have an audited track record and their audited portfolio has returned double the S&P 500 since inception in 2017 over 1300% gross or 32% annualized. If you want to actually make money in markets, it's really important to listen to and learn from successful investors who've actually done investing. Well, not just talking well or writing well. And this often means paying attention a lot, not just to macro and thematics, but also single stock fundamental analysis. I am a real believer in what I just said. Monetary matters listeners can get discounted access to Paranas research or 20% off for one year, build quarterly link in description. Let's get into it. I am joined today by.

Daya and Dean Pernas of Pernas Research, which manages money and also has an investment research firm. Dean Daya, welcome to Monetary Matters. Good to see you. Pleasure being here again. Thanks, Jack. You guys have followed a lot of stocks, a lot of themes in the market. We're getting to cybersecurity, AI, the data center build out and single stocks that you've invested in, many of which successfully. That I'll be honest, I consider myself who knows a lot of stocks. you know, I don't know these stocks well. So I think it's a very different perspective than most people will get on, you know, almost any, any other interview. But gentlemen, how will we start off with a broad view of the hyperscaler spending on AI, the consequences and your thoughts? Because I know you, you really think this is a, this is a very big deal. Yeah, it's, it's very timely. Um, I think SanDisk, Esquihonix, entire memory complex and AI complex has been down.

like 45% of it last month. And the market's really questioning if ROI is there anymore. And especially with open weight models coming into play, we believe open weights are bullish for the AI ecosystem. If you think about the AI ecosystem, it's roughly about four different layers. So you

have the chips layer, the infrastructure layer, who are the cloud providers. And then you have the frontier models who are like chat GBT and Anthropic. And then you have the application layer. And so previously the frontier models were essentially capturing a lot of the unit economics of AI. And now with open weight, essentially there's a theme called commoditize your compliments. So if you're in a technology stack and if your compliment gets commoditized, a demand increases to all the other layers. And so if you're a cloud provider, for instance, enterprise are going to be using more AI given the fact that it's cheaper to use. They don't have to pay 10 per million input tokens for it.

Anthropec or Chatt WT. So, demand's going to increase and for a GPU provider, that's going to translate to higher GPU prices and the economics are going to increase for you. So, we think that it's not as bullish for frontier models, but the argument could definitely be made that it's bullish for all the other layers in the ecosystem. And we can go on to whether the improvements that Kimmy has made is due to distillation of Cloud's models. We believe it is. It's not. purely due to innovation, architectural improvements. But yeah, we believe that there's still a case we've made for bunch of models as well. Right. So Kimi is the model Kimi 3 that was released by Chinese AI startup Moonshot AI recently, which is now number three in the world. So it's kind of a fear that this open source model is going to severely reduce the pricing power.

of the AI labs and anthropic and open AI. So Dean, you said that it's bullish for the companies that are not the frontier labs, but what about just the layer directly above the frontier lab? So the hyperscalers who are spending it. So that's Oracle, Microsoft, Google, Amazon, and let's see, who else am I missing? Meta. Meta announced that they actually are going to sell their excess compute. So they may try and become some sort of cloud. So Right now we are in a bear market panic in the semiconductor complex. But what preceded that was a weakness in the hyperscalers themselves. So I want to start there just, um, and can you link it to the general idea of why you think that this is the best time in history to beat the S and P 500. Yeah. The, uh, essentially we believe this is bullish for enterprises because they can now, uh, spend a lot more of the AI you already heard talks about.

companies like Uber and whatnot, and Amazon pulling back on AI spending, because it was it was getting too pricey. People were blowing through their budgets in a span of a month. And that's because they had to pay anthropocore or Chagiwiti significant amounts of capital to use their to use their models. So if those can get reduced 90% or so, Jevons Paradox is still in effect. And that benefits cloud providers because now the economics translates to whoever controls the GPU. So GPU rental prices are going to increase. as a result. So we think overall, aren't the the main customers of GPUs are open AI and anthropic? And is their pricing power that could be probably will be hurt by by open models? How does that help the hyperscalers? So if we go with number one, that open weight models are going to essentially compete in lockstep with frontier models, which I think a case can be made against that because because of Anthropa-accused open-weight models of distilling fable, et cetera. They said that about 4 million messages were exchanged, which Kimi can then use to train their model. So leaving that aside, there would be an air pocket demand for the frontier models because they make up such a large bulk. But that would be replaced with enterprises using these open-weight models, and the companies that would host that would be these hyperscalers.

leaving aside meta, it would be Microsoft, Google, AWS, the usual suspects. Okay. And that's a good point. And it's really important that open weight models have a far cheaper cost to actually, you know, use, but you have to use your own cloud. And it's, it's not like the open weight models are so much drastically cheaper in terms of how much cloud, how much compute they use. They're just cheaper on, in terms of the weights are open. Exactly. Which leaves more. pie for the hyperscalers to absorb. That makes sense. Dave, you have any thoughts here? Yeah, I think that it's a special time if you are an active manager and you are, you know, let's say you're bogies ESP and you're trying to help for the ESP. So it's a very top-weighted index, obviously. You have, you know, top 10 names make up close to 30, 40% of the next weight. And a lot of these names that are hyperscalers, you mentioned, I have it, there's a step function change in capital spend and for the foreseeable future. They're essentially existentially forced to make these outlays with uncertain ROI profiles. So you have the situation where the leaders of the index are being forced to kind of subsidize this spend for the rest of the economy. And you can find other

companies that benefit. So yeah, it's a very, it's a special time to be an active manager and not to mention Most of these hyperscalers we mentioned are trading at significantly high valuations, roughly 10x EV to sales if you average across all of them, which definitely isn't cheap if you ask me. So I think there's a lot of vulnerability in index right now and it's a pretty exciting time to be a stockmaker. So a lot of mainstream thinking goes where the hyperscalers go. That's where the suppliers to the hyperscalers. So the semiconductors, the powers, many of the names that you're involved with and we'll talk about that. That's where those go as well.

But you're saying that you could see a world where actually the hyperscalers burn a ton of money and they burn on it spending on on on chips and all of these power stuff. And that's just a huge beneficiary to to the the companies who are receiving the money. Yeah. At the end of the day, the the demand for compute compute is going to continue. to be unlimited for the foreseeable future. Every actor in the economy right now, every business is trying to figure out how to use AI. So you're going to need compute, and all that is backstopped by hyperscalar spend. From what we're seeing is that there's companies that are figuring out best ways to convert that compute into economics. And a lot of these companies are trading at reasonable valuations. They're not having to spend a ton in order to in order to receive attractive economics. And that's kind of where we're looking. It just, you know, if something's trading at 10x EV to sales and there's a huge step function in CapEx and now to spend all their free cash on more, a lot is gonna have to go right for that multiple to be, you know, roughly correct. So, yeah, I think it's a lot easier to look elsewhere. We will get into the elsewhere. So, Dave, I know you've tracking a lot of software stocks, many of which you talked about with my partner Max Weethy recently, and those have done well, many of them. But we're going to start with the hardware. So Dean, tell us about the sort of thematic overview of the stocks in your guys's portfolio allocated towards the data center. And almost none, I think literally none are semiconductor companies, but they are involved in various ways. So Dean, start off with your holistic approach, the theme that you see that's benefiting all these various companies, and then we'll get into what drew you to the individual stocks. Sure. So the largest theme is energy. So especially bring your own power. The infrastructure in the United States is a very aged and antiquated thing. And for a good reason, for the last 20

years or so, Essentially the amount the energy domain of the United States has been roughly the same around 4,000 terawatt hours because Appliance have been getting more efficient and even though the population been growing they've kind of countered each other and now you have AI which is poised to take 20% of the entire US energy grid demand by 2030 roughly 100 gigawatts or so and Then the the infrastructure the grid can't can't do that Primarily because of two reasons the transmission lines are just it's akin to a two-lane highway, which should be like an eight lane highway. And the powerful extortion of these data centers, simply the transmission lines can't do it. And so there's these massive cues to get power from the grid, and it's extending 18 to 24 months. And so all these companies, these hyperscalers, have to bring their own power. And the United States is very fortunate that they have natural gas pipelines.

almost everywhere and so they can plug in and if they have turbines they can utilize the natural gas to create energy and so that that theme we believe is going to continue to sustain itself for the next three to five years until more alternatives can be bought can be bought to the market so we believe that's that's still the strongest theme out there and open-weight open-weight models only accelerate that another theme is data data bandwidth between data centers. So you've been seeing these massive data centers being built on the scale of one to three gigawatts. And we believe that's going to be topping out soon, primarily because of two reasons. Number one, you just can't bring that much energy into a site. And number two, you're seeing a lot of pushback from cities and communities that don't like these massive data centers. They think there's emissions and water contaminations. And so you see these moratoriums cropping up in different states. And as a result, These hyperscalers are going to have to now bridge data centers in different geographic locations together. So bandwidth needs are going to have to expand almost 15 times to accommodate that. And we believe that that is another thing that we believe is very attractive. So exactly what do you mean by bandwidth needs going up? So essentially, you can think about these data centers as monolithic. They can operate as standalone silos. And now, instead of, say, a 10 gigawatt site, you're going to have 10 different 1 gigawatt sites. And they all have to be communicated with one another.

to be creating, to do trading runs or to be running inference, et cetera. Okay. That's interesting. So let's talk about the first theme, which specifically is electricity power energy. And is it specifically behind the meter or is it just broadly specifically bring your own energy? Yes. Okay. So bring your own energy. So, you know, Dean Daya, I associate with bring your own energy names like bloom energy names like constellation energy. G.E. Vernova, many names that people, you know, if they listen to other financial podcasts or television programs will let like hear all the time. Again, you've got some stuff that not almost no one else has. Exactly. Why do you own what you own as opposed to the more mainstream kind of behind the meter names? Yeah, you name the largest players. Blue energy is a massive one. We have a company called Capstone Energy in which they produce small microturbines. I think 50 kilowatts to two or three megawatts. And simply it's, it's also valuation. Um, blue energy is trading at, I think the last time I looked at it, 15, 20 times revenue and capstone is trading on the scale of three times. And so valuation is, is a huge driver in, in our stock picks. And we believe the tailwinds are just as strong. Blue energy produced fuel cells roughly on the same dimensions as capstone. They're a bit more efficient. Um, however, capstones microterm is are less costly. Um, and so we just think that the, the trends are But the trends are just as strong with capstone. However, the evaluation is much more attractive. So capstone produces turbines that are smaller than bloom energy. Who would buy these turbines as opposed to the biggest data centers in the world if they're doing behind the meter? I imagine they want to go to bloom. What's going on with the capstone and also just step back. What is a What is a turbine? What is a fuel cell? What are we talking about here? A micro turbine is essentially just a large turbine truncated down. So you could think about these massive turbines that GE Vernova makes that are on the scale of 200 to 300 megawatts. Why someone would pick capstone or a bloom energy is time to market. So there's massive lead times with these larger turbines stretching on the order of 18 to 24 months. And it's crucial. If you don't have energy, you don't have anything. And so you need energy however you can find it.

Um, and so, uh, that's one of capstone's biggest assets. It's time to market is on the scale of one to three months. And it has significant capacity left that that that is large drivers. So energy, energy, uh, as soon as you can, as soon as you can find it, you, you want it. Okay. And so capstone energy from

when you initiated on August 5th, 2025 to its peak in May 29th, 2026. was up 1,131% roughly. Now with the almost 50% decline it's been cut in half. It is still up 545%. How do you think about valuation here? And just how significant do you think the growth in its revenues and potentially profits are going to be going forward? It's roughly operating about 10% capacity. So it can produce roughly a gigawatt per year running three shifts. Right now it's 90% less than that.

If and what we like about cap centers, there's multiple ways to win. So number one, they can be a certain data hall for a hyperscaler. We don't expect it to be producing or supplying three inner megawatts to hyperscaler. We think that's a bit excessive, but certain data halls, 20, 30 megawatts at a time, certainly reasonable. And then there's edge data centers. So edge data centers are just small, very small data centers. I'll roughly scale one to four megawatts and there's thousands on the United States. Those of you have to go from CPUs to GPUs, we think as image and audio modalities become more of a thing, video modalities, that latency is going to play much more of a role. And so these edge data centers are going to take center stage. That's coming down the pipeline. And third, you have all these other manufacturing facilities that can't rely on the grid as much because of all this demand that's being imposed on it. And so we think those three avenues are very lucrative for a capture. OK. And would I be right in that it's basically made no money?

At all right over the last so the company's been around for over the last 40 years They just came out of pre-packaged bankruptcy about three years ago. They hit their first year of profitability last year. So yes Okay, so it's sorry. I oh Okay, sorry, you know what I have I literally was looking at it in billion. So I'm like, oh, it's only 0.1 billion. Okay. Yeah. Okay. Okay. Sorry It's a very small company. It's about 300 million 350 million dollars fully diluted So what else other than Capstone? So the second theme, well, I guess still tied to natural gas is a company called Stabilis Solutions. We just initiated this position recently. Essentially, for data centers that don't have access to a pipeline, you need portable natural gas. So you need a company that can liquid the natural gas, they can transport it via cryogenic trucks, store in a tank, then have vaporizers that you can be able to use it.

And so Stabilis really operates in this space. It's been consolidating now over the last couple of decades. It hasn't been a large space historically. Stabilis is now one of the few solution writers in it. And it couldn't be, the environment couldn't be better for it. Primarily driven by two things. Number one, they just signed a large contract with a data center, I believe it was a couple hundred million dollars over two years to provide these portable natural gas solutions to it. And number two, uh, via SpaceX. So the SpaceX is one of its largest customers and, uh, space shuttle has used LNGs as fuel and essentially SpaceX launches are going to go from, I think 50 or so to 20 X that in five years time. So those are two massive trends that we think are going to drive, uh, favorable union economics for established. So this company supplies natural gas to data centers and also to SpaceX.

Yes, you can think about it. It's called a virtual pipeline. So if you don't have extra pipeline, you need these guys to provide natural gas to you via tanks or via trucks. Interesting. This is a small cap stock. So that's an interesting name. And it's a recent addition that you have it, I believe, as a quote-unquote speculative holding in your portfolio for Pernos research. You've got three weightings going from speculative, you know, one to 3% starter three to 5% and core five to 15. percent. So Stabilis is a speculative in the speculative category. Yes, it's a very small company. It's around a 75 million market cap. And so sizing is smaller with those companies. Okay, so we talked behind the meter. Now tell us about bandwidth. Yes, absolutely. So like we were saying, data bandwidth needs between data centers is going to increase significantly. And this company called SmartOptics, located out of Sweden, essentially plays directly into that space. Everyone Silicon Valley knows them. They've essentially, their hardware, they modify it to be able to communicate with other providers in that space, whether it be Broadcom or Cisco or Rista. And their software is also best in class. And so also a smaller company, but we believe their solutions are pretty much tailor made for the rise of scale across in data centers.

And sorry, what do they do? They like control the amount of bandwidth going between different data centers? Yes. So it's it's it's only the hardware to be able to essentially convert data into lights to be able to send across fiber to other data centers and software to be able to modulate that and make sure that's extremely accurate. That's that's interesting. And initially

this this stock, I guess to do recently IPO smart optics. No, it's it's I think listed recently recently got listed in the US. OK, it's been trading for yeah. Oslo exchange, their headquarters, I think they just relocated to Sweden. Yeah, it's been listed out for about, I think, close to four years. Okay, so Dean, I think you're kind of the hardware guy. Daya is the software guy of the family. Another hardware name you looked at is Vichay. Tell us about that. You first talked about that in June of 2025, the stock.

tripled to June of 2026, but then it is down significantly from its highs. It's basically been cut in half over the past month. What is Vichay? What's the exposure to this trend? Yes, Vichay is a play on robotics. And so we think that the next step with AI is robotics. So essentially we have the hardware solutions built out, but the brain isn't really there. And we believe given high fidelity physics simulations, AI can essentially create the brain needed to operate robotics. And so we believe that if that's the case, then humanoid robotics might be the largest industry in 10 years time. And so Vichay essentially makes these strains and sensors, strain gauges and sensors that go into the hands of humanoid robotics. And we believe they already have three of the largest customers in that space. It's still in prototype mode. I think Tesla figure and and one other one. And essentially it's a play on that. If AI can create the brain for robotics, given that the hardware is there, it's that hockey stick growth is pretty much uncalculable over the next several years. But to be clear, this is Vichay Precision Group, VPG. This is not Vichay Inter-Technology, which is a producer of passive components. And I myself got confused, so people should be aware of that.

Daya, do you have anything to add here? Just as far as the, like, you know, a lot of these companies, some of these companies that we've owned, we continue to own because we think the upside potential is significant, especially when you look out at some of the trends that Dean mentioned. I mean, who knows, who quite knows how big the robotics trend is going to be in the next 10 years. But, you know, it's very clear to see. the durable momentum just going forward. And owning these names for a period of time, I think that even if you're paying up in multiple slightly, the opportunity set is just too enormous not to have exposure. Tell us about another theme, cybersecurity, which at a time was grouped in with software so all these stocks sold off.

Now the conversation is evolving to something a little bit different. Tell us your view on cybersecurity in the age of AI, Daya, and how you and your brother have chosen to play this in the markets. Yeah, I think what's going on in cyber is really interesting. We were headed ahead of this a little bit and now it's just continuing to gain momentum and you see the narrative of this growing. And really cyber is we're on the precipice of a of a new chapter in cyber. And one of the reasons why a lot of CTOs and CISOs like really the positions, the people and companies that are responsible for tech and cyber, why they're freaking out is that you're seeing this huge shift from really like identity based attacks. If you look at the majority of attacks in the recent years, they're like 80% or so are from identity based attacks. Like everybody's familiar with phishing attempts.

and so on. For bad actors, it's been a lot easier to try to finagle or steal your identity somehow and walk through the front door with the keys rather than try to find vulnerabilities in the structure of your house and trying to find a way to penetrate your home that way. So what we're seeing now is with the influx of these frontier models and their ability to go through thousands of lines of code and find vulnerabilities. is that it's allowing bad actors to find and exploit vulnerabilities a lot easier. So the cost of finding vulnerabilities in code has gone down significantly. So really, it's like, oh my god, we actually have to worry about traditional hacking again. You know, as opposed to just, oh, let's just try to make sure, let's hire CrowdStrike, let's get their Falcon agent, make sure that all our actors, all their activities are being tracked by Falcon and nothing disruptive identity-wise is happening. Now we're having to worry about a whole new other thing, which is really exposures, where our vulnerabilities are, where are all our assets, where are the vulnerabilities, which vulnerabilities matter and what is the potential consequence if somebody were to exploit these vulnerabilities, which is a whole different question that's being asked in cyber over recent versus.

versus recent years. So you're saying like over the past 10 years or so, the main cybersecurity threat was like, you have an employee, let's call him Jeremy. And he gets called by a scammer who says, hello, I need your thing, blah, blah, blah, blah. And he says, gives us social security, gives the bank information, all that stuff. And cybersecurity was trying to contain that risk of human error. And now the risk going forward is not so much that it

is literally the computer system itself has been hacked by this extremely powerful AI, which has always happened. Exactly. Well said. We're still going to have to worry about the identity stuff. That isn't going away, obviously. But yes, on the software side, the vulnerabilities on getting hacked in general is significantly more poignant now and is going to continue to gain momentum, especially as really the obstacle has been cost. But as some of these models start to become lower, lower costs, and some of these bad actors can use these models to find these vulnerabilities and exploit them, it's going to become more and more of a problem.

When I say CCOs and CTOs are freaking out about it, it's an understatement. They're losing their minds about what are they prepared for the next shift in cybersecurity. So CCOs, Chief Technology Officer, CCO is what? Chief Compliance Officer or what? Chief Information Security Officer. Keep it off. Yeah. So really the person responsible for protecting the company from cyber attacks and stuff like that. Yes. And so these stocks alongside software have sold off because, oh my god, AI is going to make this software and disrupt it, you think that's an opportunity. So it's a huge opportunity for companies that are able to provide solutions around, hey, I'm a company, let's say I'm a large company, I have assets, I have servers, I have AI solutions, I don't even know all the applications that I'm using. I need a solution that's going to tell me where all my assets are, there's going to be able to scan them, tell me where all the vulnerabilities are, and there's going to be hundreds of them, but then only tell me the ones that really, really matter and then be able to fix them for me. That's where it's headed. The company that we're really interested in is a company called Tenable that is the head of the game here. They're the leaders in something called exposure management, which is where the space is heading. They started this in 2022, and it's really about taking their previous solution, which was a vulnerability scanning software that that has tended to kind of move to a more commoditized direction and really building on a platform behind exposure management, using some of the, they have a partnership with Anthropoc, using some of these frontier models to be able to go through all your assets, being able to go through your code, find the vulnerabilities and help you fix them. So they're the leaders in that space. They have an incredible opportunity to upsell all their previous vulnerability scanners into this new platform. And the tailwinds are quite durable for this company for

a long time. And keep in mind that versus some of the larger competitors in space, I mean, Tenable trades at four times EV to sales and CrowdStrike and Palo Alto are both north of 20 times EV to sales. So you're getting huge discount on a player that may be better positioned at some of these larger rivals to do very, very well given this platform shift. And it is just starting to make money on an operating profit gap basis.

Maybe those other cybersecurity companies are making much more money in terms of gap earnings. That is an issue with software is that some software stocks have sold off so much, but they're still not at the level where deep value investors would buy them, even if some of these stocks are literally down 80%. They are broadly thinking about this SaaS apocalypse, the apocalypse of software as a service stocks. How do you assess the threat of AI to software stocks? How do you think about the bear case? What is the bear case as you and your brother perceive it? What percentage accurate is it? Where is it correct? Where is it not correct? Totally. And there's two things there. The first one I want to address is that some of these companies don't scan well. Like if you look at the Ten Bull, if you look at some of the other SaaS companies, some of the other ones, their growth has come down significantly, but their stock-based compensation is still extraordinarily high.

Which is one of the re like a company we own named Sprout, which is one of the reasons why it screams quite poorly, but I would By the way Sprout you talked about it with max in April. It's up like 50 or 60 percent since then so it was so beaten up is he is such an easy call to make I mean this thing everybody is pricing this thing for complete you know complete decapitation and it was very clear that you know the market was wrong on the probabilities But these companies, yes, you're right. They screen bad on a gap basis. But a lot of that is due to SBC. And because some of these growth rates have come down, SBC is just like any other variable expense is how we believe investors should view SBC. And if you think that there's reasonably the SBC as a percentage of revenue should come down quite rapidly in the future, that's an opportunity to get in front of some very attractively enhanced gap earnings just as a result of SBC normalizing.

So that's one thing. Secondly, I think the market was correct to assess vulnerability. A lot has changed in software. You know, agents can use software and of the cost of producing production ready code has come down by an order of magnitude of 90 to 95%. Yeah, it clearly requires a reevaluation of some of the software companies. And what does it mean to have same power as a software company? Where does the actual moat come from? And I think the market is just starting to figure out, you know, okay, which software companies are vulnerable? Well, you know, none of these software companies, none of these big software companies that have actually seen any sort of, any sort of supplanting of their products or services yet, none of that has happened. I mean, obviously some small software tools are very easily replaced. But you know, if you're a full-throated kind of software company, enterprise company.

It's still very, very difficult to replace. And which ones have the defensibility? And for us, it's really around, do they have any sort of unique data? Do they collect their own data? Do they provide security compliance, enterprise grade features? How deep are their integrations? Is there a real world component to it? Are they helping the company solve logistics issues? Or are they helping the company with giant construction projects, like a company like a pro-core, for instance? Or is it just purely a digital tool? So for us, it's really the evaluation is the end of one. You have to look at each of them as a case by case deal and not just a broad blanketed, okay, well, software is gonna get destroyed. And I think the markets, getting better at better at some of the nuance around some of these software names. What are some software stocks where you've looked at them and you think, man, the sell-off is warranted. And if anything, I think that it's going to go down a lot more. Like this has just been one-shotted by AI, destroyed by AI. As far as the bigger names go, not really any, although what I will say is I think the sell-off is rational. Not exactly from the, you know, this thing has no terminal value, not from that perspective, but really that I don't think, you know, most of these companies should have been trading at some of the levels they were trading at the start of the year anyway. Why do you think the sell off is is merited in the sales forces of the world? Well, it's it's also the growth rate. Most of these SaaS companies that have growth rate has also come down a bit. It's not due to the AI threat is just due to the nature that they were fast-growing names and it's kind of slowed down. So the

opportunity in front of them, where's the next leg of growth going to come from is difficult to answer. These companies, their fundamentals are going to continue to improve. And we've seen that this turning season. But it's hard to get investors excited about a larger growth story. With Tenable, we think it's a completely different situation given given what's happening in cybersecurity. So obviously, you are very forward-looking, which is how you make money in markets, actually. But just looking, like, optically at the revenue growth rate, they both are used to be growing at very high rates and now are growing at, like, 10%. So I expect you think growth for Tenable is going to accelerate. We think growth for Tenable is going to accelerate in the opportunity. Exactly. Like you said, we don't, you know, our perspective is that investing is all about anticipating the future.

And if you have a variant perception to the prevailing market and you're right more often than you're wrong, you're going to make a lot of money in this business. So it's all about forward-looking and how you see the future contours of the business evolving. And yeah, for us, we think Tenable is moving quite fast. There's a significant urgency to that culture to take advantage of this structural shift in cyber to get ahead of the next chapter in cyber. And we think they're going to be the position to benefit from that. We're already seeing that in their data, their upsell rates and customers that are moving to their exposure management platform, which is the opportunity. OK. What other names in the cybersecurity or software world are you invested in and why? I think one that's pretty easy to own is a company called Upwork.

a SaaS name, it's a software company. And I think we've forgotten how special marketplace businesses are and how difficult marketplace businesses are to build, the network effects that are involved and just how impossible it is to replace this type of business. But Upwork is its own little economy that connects businesses to freelancers. Freelancer, you know, I think high value freelancers, this isn't like a five or you just need a quick logo created or something. There is part of the Upwork platform that does that. And that's being competed away by AI, which has caused a lot of investors to aggressively sell off Upwork stock in fears that, oh my God, a lot of these freelancers are going to be replaced by AI. It connects businesses.

who need support, whether, you know, think about, oh my God, I need help with showing up my cybersecurity or I need help with creating a marketing solution for my business or I need help with, you know, customer service, whatever your needs are as a business and Upwork is there for the freelancers there to be able to serve those needs. And it's a platform that's it's not static. It's not like just like any other economy, there's creative destruction. So if a certain substratta of freelancers is no longer being used, that's gonna be replaced by whatever it needs are in the future. So we're, you know, we're highly bullish on Upwork staying power. And especially if you look at it from the perspective of valuation, this thing trades it a little over one times EVD sales. It's trading about six, a little over six times EVD, a free cash flow, you know, even after taking into account SBC. So unbelievably cheap business that's impossible to replicate.

that's growing. I don't know where you find a better bargain than that in this market. So, yeah, we're very, very happy to have exposure there. So, Dave, I do project some people listening to this and thinking, man, he's talking about Upwork, like that company is going to be totally dead because there are companies that they offer consulting services that now really can be done by AI, software development advice, that kind of stuff. Why isn't... Upwork going to die and talk about the business that you think it's being computed away versus the broader business that you think is is going to be totally fine in this era and and the difference between that Well, you you don't have to take my word for it. You can just look at their data The the jobs that are underneath 500 or more as far as job guys, which are low-value work They're seeing some weakness there So they're very transparent about the weekends they're seeing that lower. What do you mean 500 or 500? You know, I need a logo created. You're a freelancer. I'm a successful business. I need a logo created. I'm going to give you 300 for it. Those kind of jobs. So 500 or less for the entire task, that is seeing strong weakness whereas the other part is not. Exactly.

a lot of Fiverr's business. Fiverr is a competing kind of freelancer platform that is really kind of productize a lot of these kind of lower value jobs and I think they're going to have a much tougher time. But Upwork, most of the overwhelming jobs on their platform, tasks on their platform are higher value jobs. I need somebody to kind of maintain my website, make the

proper updates. I need somebody to I need some consultative help around my marketing solutions, stuff like that, higher value services. Yeah, so I disagree strongly with the market. I don't think that's going the way. I think small businesses at the end, they want to talk to people. A lot of times they don't even know what questions to ask. So how is an AI going to be that useful for you if you don't know what the right questions ask? Somebody who really understands your problems and is an expert in that space, that's not going away. You're going to need You're going to need experts in certain areas. AI can help you. And keep in mind, AI is also helping the expert that you're talking to. It's making them a whole lot more efficient. And at the end of the day, look, it's a whole lot easier to just talk to somebody who understands what you're doing and have them do everything, instead of having to prompt AI 18 million times to get some iteration of something exactly right. So yeah, for us, we think that freelancers, especially Powered by AI are going to be incredibly valuable. You know, we are big users of the Upwork platform and our spend on that platform has continued to grow over the years. It hasn't declined. So Yeah, I mean obviously we're an end of one but you know, there's a lot of the reasons why we think that Upwork has staying there. That's interesting. I think that could be your most contrarian take so far. I'm excited to see if it works out. I think would you guys say in your portfolio?

you do have a blend of things that are against the tide versus with the tide. So, you know, some of the names that Dean was talking about earlier, probably people have never heard of them, but they do similar things to the stocks that are up a ton. And, you know, since they're up the ton, whereas Sprout Social, you know, it's up a lot from when you talked about it with Max Daya, but that was a software name that was totally in the line of fire. So, are you guys aware of that in terms of managing your portfolio of you want to have some positive momentum and some negative moments of names? Really it comes around just having a variant view. So a lot of the names you mentioned with Dean, you can be with the momentum, but if you think somehow the trend is even stronger than the current momentum suggests, then that's a variant perspective that qualifies. There's usually opportunities to make a lot more money, the more variant to your perception is.

So we're just kind of more attracted to contrarian takes. That being said, they don't all, you know, you know, the markets may be right on a lot of them a lot of times. But yeah, for some of these software names, you know, it is a heavily contrarian take. And that's why there's an opportunity to make access to currencies because, you know, you think the market's wrong and you're willing to place a significant amount of capital on your conviction. Dave, you've got several other software names obviously available to. Pernaus research clients I want to take a step back and get your story so the model portfolio or the portfolio that you guys have been managing since 2017 It's I'll performed the S&P since then and actually done double the S&P Tell us the story of managing them that money your guys investment journey And then we'll get into the philosophy and when you you know why you started Pernaus research so the The whole concept of pronounced research is really around how we think cell side research has a lot to be, you know, there's a lot there to be desired. There's a lot of biases. There's no real conviction. It's more coverage than anything. And, you know, buy side research when done right, you know, with that alignment is just better. These are people, they have skin in the game. They're invested alongside of their ideas. They just care more.

it reads with more conviction. So for us, it just seems like a no-brainer, easier business model than sell-side research. Obviously, there's still place for sell-side research, but we just don't really like any of it, to be honest. So we decided to create our own research firm around the concept of buy-side research. None of these other research providers really have a track record. A lot of these sell-side research firms that I talked about, made some recommendation or whatever a year ago and whether it worked out or not. Nobody seems to care. Nobody has a record of anything. And yeah, for us, track records are important. How has your portfolio done? Are you any good at what you do? If you're not, you should just go home is how we think about it. So for us, track record is everything. And we've structured the entire research around that. And I can get in the portfolio in a second, but that's really the genesis around.

on why we decided to start our research business. That makes sense. Yeah, let's keep it coming on the portfolio. Oh, go ahead, Dave. No, younger brother's younger specs. So, yeah, the portfolio is really structured and

there's three different sleeves. There's a core bucket. And those are really names that we have a strong conviction in over the next couple of years. They tend to have longer time horizons. We they tend to have higher our our picks in that bucket tend to have higher batting averages, usually it's around 70%. And we tend to have weight those more in the portfolio. So if you think about, I hate the word compounder, but if you think about compounders, it's kind of like that. Companies, we have more conviction in their growth profile, in their financial profile, so on and so forth, more established type of companies. And then we have another bucket, which is starter positions. In this modern market, things can kind of move so fast. You maybe don't have the time to do you know, the three months of research you wish you could do in a name or industry, you kind of just have to do the appropriate amount of research and take a position because the idea is interesting and it could potentially graduate into a core position. So that's really our starter bucket, which is weighted around 3%. Each of those is weighted around 3%. And then you have our speculative sleeve where a lot of the names in there have very little downside protection.

But the upside, it's really about slugging percentage. It's not about that percentage. You're really trying to take small positions in a name. And you think that there's opportunity for multiples of returns in a short period of time. And that's kind of how we structure our portfolio. Tell us what's available to your clients of Peranas research. So you've got the research vault, your pieces on your open positions, your closed positions, pieces you're neutral on, you have your active portfolio and your tracking that on whether it's a core position, et cetera, whether you're trimming it, you've got the performance, and then stocks don't are and themes. So just tell us kind of what people get. So really, the first thing you get is access to portfolio and all the research, you know, all the research according to every single name. So we have an every single name that we we put in the portfolio, there's an initiation report on, and then there's updates, we provide a name and updates on certain actions we're taking, if we're taking any actions at all. Like maybe we trim something, maybe we add to something on some weakness. A lot of times if you own a name and the fundamentals keep doing what you think they're going to be doing and the price is going the other way, you have to add to that position. Over the years, we found that

that makes up about 20 to 30% of our alpha is being able to kind of average down when it's appropriate.

any of those actions in the portfolio, there's always research communications associated with it. But that's the first thing they get is the portfolio and then regularize research around each of those names, any new ideas and so on. And we have a regular cadence of the research that we produce. Every month we come out with a report on something. And weekly, we talk about all the types of ideas that we're looking at. That's the stock zone that you mentioned. There'll be three names we thought were interesting. Maybe we passed on them. Maybe we think there's more research needed on them. But we try to give our members kind of an inside view into the research process and where we're looking. Right. Just looking through, you talk about not just the stocks that you like, but the stocks that you passed on. So you, for example, TIC solutions, actually, I know that stock, you say pass, backblaze pass. You say, OK, it's a fine company, but here's why I didn't own that. That's important. Also, I think your work is really short. There's no fat at all.

And some of the work is literally like two to three paragraphs. And it's, I think that's, uh, may seem like people are getting less, well, they're getting fewer words, but they're actually getting a lot more. And it's a saving time. Yeah. I think it's, I think it's both. I think, uh, it's bite size when it's, you know, like, like you said, we, we do publish on when we pass on certain ideas, which we think is important. It gives in a, it gives people and, uh, a deep understanding into our filter process. And. And it also helps what we found as feedback we got, but we didn't know at the time that for our members, it gives them more conviction. And the ideas where we do flag is like something that's really interesting given that all of the stocks we've passed on. So they kind of already understand our thought process and they're bought into our philosophy just through the different companies that we passed on. I think it's also, it's like, People may have lived in less than a dean say he loves this robotics company like it's important context. Well, there's five other robotics companies that Dean today looked at and they didn't like it. And here's why. Yeah, exactly. And I think it, uh, it's, it's what every stock breaker should be doing anyway. They should be going, they should be turning over rocks. And if you're not looking at many different

companies, you know, all the time and trying to evaluate, uh, getting your reps in, uh, it's very difficult to outperform in our opinion. We're not believers in the buy and hold forever philosophy for a number of reasons. You've got to be constantly looking at new ideas and making evaluations in your portfolio. Dean, anything to add? The hit rate for us is roughly one in 100. We pass on a lot more companies, but companies that involve some research, we're generally around a 1% hit rate with those. So yeah, we turn over a ton of rocks.

It also informs our portfolio construction because if we're not finding a lot of opportunities at company level, we're going to have a higher cash waiting in the portfolio. So it informs both. And you're mostly in the small and mid-cap space? Yes, exactly. But like Sam mentioned, it's incidental. There's just a lot more companies in that space. However, we do dabble in mid-caps if the opportunity calls for. So for instance, Meta was one of our large positions. I think back in 2022 or so when it sold off, I think 70% or so on fears that essentially ad track and transparency was going to ruin their ad targeting abilities. TikTok was going to essentially monopolize Gen Z and Instagram didn't have a rebuttal. On top of that, there is the metaverse that Zuckerberg was piling 40, 50 million a year into. And we thought that These self I think at its bottom is right 90 a share from 300 something was was just Just throwing throwing everything out throwing the baby out the bathwater Essentially, we we think Zuckerberg is one of the more talented CEOs. He's had a couple missteps with meta and AI I'm actually a bit disappointed. We sold we sold out of meta. I think that last year Just as their AI, open-source Lama, was not at the level that we thought it would be. And we believe that had to do with several things, like Yann Lacoon was, was head of AI research there. And he, he's been a massive opponent against LLAMC. He thinks it's kind of a localized, a local maximum, as opposed to kind of global maximum. He thinks it's a, it's a cul-de-sac for AI. And so I think there's been some cultural mishaps there that's, that's slowed the progression AI. But we do think we, we look.

We look at him very, very, very favorably as a CEO. I mean, he's taking Facebook from what it was. He was able to monetize on mobile, and it was very hard to do so. And he's able to copy Snapchat and take that, take Mark's share there. So we believe that the sell-off was drastic. However,

when it recovered to 700 plus, we got out of it, given the valuation along with progression AI. That is interesting. So so monetary matters listeners gets a 20% discount to subscription to Pernaz research and that the description is a quarterly subscription. The link is in the description. There's no code. All you have to do is click the link. Tell us more about meta. This stock is probably the biggest spender relative to the revenue that it's actually generating from the spending on AI capex. Like they're basically just spending for themselves. They've announced they're going to sell them to the compute. What are your guys thoughts on Meta now? I admit that I'm pretty bearish on Meta because to me it kind of seems like they don't really have a plan or they're very bad at communicating their plan. But I'm curious what you guys think. You guys know way better than I have and have done tremendously well in the stock. Yeah, Meta. So the first strategy of Meta was open source. And so Meta's not in the cloud business. So it wasn't in the cloud business. That might change in the future.

But they're in the content business. So if they could make AI open source, make it cheap, people would produce more AI content, which would benefit them directly, having largest network in the world. So that was the strategy that we thought they were going after, and we thought it was the right strategy. Now it seems like they're just floundering and trying to find the best use of just the... 1000 GPUs they've acquired cloud could be could be very profitable for them give it especially if there's an acceleration demand given open-weight models and enterprise using them But yeah, it seems like they're they're floundering They they did a lot of headhunting and poached chadgbt and anthropic employees for hundreds of millions of dollars and we that didn't really yield anything So unless they come out with a an amazing model, it's it's hard to see where they're going from here as opposed to just being a cloud a cloud provider so Yeah, at the beginning we liked their strategy, we liked where the puck was going, but that seems to have been a lot more murky now. If you don't like the strategy, how are you not bearish on the stock, or quite negative on the stock, given that if they're literally just wasting hundreds of millions of dollars, how is that not going to be really bad? And this is going to end in tears, not for the entire A, I think, but just for meta. It sounds like you're a little bit measured.

And I want to know just just the scale of your skepticism. Yeah, we no longer position a meta just just to be clear we sold out of ethic last year. Yeah, at the moment we are more bearish on meta. Yeah, for sure. It's we don't have a bullish view on it. And does it give you concern for the broader space if one of the players is spending so willy nilly with so little of an idea of how to make money? And I'm sure they would say they do have an idea. But yeah, we'll see. We believe the capital allocation with meta is a bit different than Microsoft and Google who who are in the cloud business So that that spending is a lot more measured and a lot more rational And you could say for instance meta is doing as a defensive measure against tiktok and other incumbents that could build out GPUs And then they hit some type of app whether it's magical on AI is being produced on there and it attracts people's attention which directly hurts meta so You could say that it's it's somewhat defensive along with along with other hyperscalers, of course But yeah, I would say meta outlook for meta is is definitely negative going forward. Have you guys looked at Semi conductor companies? I can't help but notice it's their absence broadly in in the portfolio with semis It's it's a lot harder to to play Especially given China. We've learned that quite the hard way China China is very competitive and they're no longer just the producer of 1 widgets. They're very technical. They already have Monopoly pretty much in EVs and drones. And essentially they're going after ASML. They're going after memory providers, CXML just IPO'd. I think it has a half trillion dollar mark cap now. So just the threat of China in there and their ability to produce, whether it be DRAM or CPUs or...

lithography machines for much lower cost definitely gives us pause regardless of how bullish the overall industry looks. Now let's go on to payments. Dayo, what is going on in payments? You've got several holdings in payments. It is a space where there's been a massacre in many names. Names like PayPal come to mind that actually, you know, I got mixed up and it was bad. You passed on PayPal. So congratulations on that. But the pricing power and the perceived pricing power that investors see has just really gone down to multiples have gone down. I say, you know, the only stocks that are, uh, have not seen a huge, huge multiple compression, our visa and mastercard, which kind of, you know, the king and queen of the space, what are your overall broad thoughts, Deya? And then we'll get into stocks. Yeah. So payments is a pretty, um, that's a pretty broad term. The

part of, I guess, payments that we are interested in and we like is money movement, cross quarter. So, uh, if you look at just, If you just look at banking in general, if you look at the history of banking, really banking is a national enterprise. If you're the government, you're trying to set up a banking infrastructure, you're not thinking about any international transfers. You're just trying to create a banking industry. So traditionally like banking systems are heavily nationalized and the whole international transfers is an afterthought or how to move money at press borders. And then you have this whole like very clunky correspondent banking system that has been developed in Swift.

and so on. All of this is pretty esoteric, but all people need to know is that it's very antiquated and it costs a lot of money to move money across borders using the traditional banking system. One of the areas where fintechs have been so impactful is driving down cost of international transfers. So if you look at the companies that we really like are Wyse and Remitley, they've created the infrastructure to circumnavigate correspondent banking. to deliver cross-border transactions a lot more cheaply. So that's really a huge part of it. Correspondent banking, really expensive. If you look at the average cost, it's about 5% or so using some of these fintechs. It's a lot closer to 2%. So they've really improved not only the cost but the experience as well, being able to track your transaction, being able to gain confidence that it's arrived where you need to arrive, as opposed to just like...

Here's a bank, it sent it, and let me call whoever's supposed to receive it to see if they got it. And the second part of it is that if you look at M2 growth in general, central banks are going to continue to print more and more money. It's a train that's never going to stop. Whether or not we're in a recession, whether we're in good times, M2 growth is going to continue to grow. Traditionally, it's grown at around 5% or 6% a year. And if you could find a company that has a scrape on that growth, and is able to defend their take rates, the economics are very, very powerful, especially if you consider how that scales and how that drops down the bottom line. So, payment companies are very, very special if you can find the right payment company. Like, think about it if you got a Visa, a Mastercard early, or a Stripe, if you're an early Western Stripe or something like that. Extraordinary power,

add in another one. Extraordinary power for businesses. The competition is fierce and you got to pick the right one.

You see so much hinge on the phrase if they can defend their take rate, which you know how much they are they're paid as a percentage of the the transaction value Why do you think that these companies can defend their take rate and they won't go down the way of? Oh my god. I mean there's so your world pay PayPal thigh serve what why can these companies Are defensible? What is their mode? I'll take a remit Lee and wise those are very great different businesses, but Functionally they do a lot of the same thing which is helping move money across borders like a remit Lee is a purely a Migrant remittance provider. So they're whole it's really a Western Union killer is what you get how you can think about what remit Lee like a digital digitally native player, you know much more enhanced experience cheaper cheaper fees and is really just kind of really eroded Western Union's business model. And they really have built my mind share with migrants. So migrants, you know, they're not like your typical customer. They really understand that market well. They're not just going to try to find the low cost solution. Trust is a huge deal for them. Branding is a huge deal for them. So having that mind share in the migrant community is going to help defend their take rate. Their take rate is going to naturally come down. It's going to come down very, very slowly. Like, and you see that like, you know, a bit here, a bit there.

But, you know, there's send volumes growing, you know, 30, 40% annually. So, you know, send volumes growing 30, 40% annually and revenues growing 25%. So that's really kind of the structure. And if you look at the durability that growth, you could see that out in the next five or 10 years. You know, the more and more money that goes through kind of these fintechs as opposed to corresponding banking, not to mention there's still a lot of money that, you know, just moves from cash. you know, there's still significant room for digitization as people go from moving, you know, people walking in your Western Union with, you know, a bunch of money to kind of send to their kind of grandma in Mexico or something. That kind of electrification cash is still happening. So you have several trends that are kind of working in the same direction. Why is this another one where, you know, they're going to continue to defend their take rate because they have

the best infrastructure around and nobody Nobody's done the work that wise has done to build out their infrastructure to plug into kind of different nations central banks and be able to move money as fast as they can And they're more, you know, they're more aggressive about taking down their whole thing is like lost like I'm gonna be the loss leader I'm gonna take down my rate very very fast. It's not due to competitions. It's more It's more aggressiveness. It's not defense. Yeah, so they're continuing. They're the one causing the storm. They're not being corrupted. Yeah, exactly So, um, yeah, I think those two players, the durability of those two players growth profiles, um, is, is very, very, very strong. Um, you know, so like there's so many tailwinds that they're benefiting from that we feel very comfortable owning those companies for a long period of time. Who are their competitors in the cross-border movement? You know, Visa reported today, I always see Visa and MasterCard say cross-border volume, cross-border volume. Um, so it sounds like they are a competitor and then you have the traditional banks competing.

Who who who competes with wise and remitly? So you have a lot of You you could say that remitly and wise are competitors. There are they are competitors for a certain segment, but wise is market is so much bigger and they're really going after businesses that are going after Bank they're trying to help banks with their infrastructure to move money. So they're wise is really trying to take down It's really about de-banking and trying to take down correspondent banking and even Visa and MasterCard. Y's is bad for Visa and MasterCard. Y's isn't bad for Romilli because a lot of 90% plus of transactions that are Romilli move through the Visa or MasterCard platform. They move across Visa rails as opposed to Y's where Y's is built out their own infrastructure.

to move, you know, where it's more like a global ACH system. So, you know, a lot of the players, you know, banks are a competitor. You know, a lot of regional players that focus on certain corridors, you know, focus on moving money, let's say from USC to Europe. I mean, there's tons of different players out there, but none of them at the same scale as a wiser or melee. That's interesting. Yes. So many times investors have been bearish on Visa and MasterCard, the bearish thesis is These fintechs are going to compete with Visa and MasterCard. Almost inevitably, the fintechs have

used the Visa and MasterCard rails. Tell me about PaySafe. PaySafe is an interesting company. It's more your typical kind of process. You talk about PayPal. It's more a kind of competitor PayPal. So now we're talking about more traditional payments as opposed to a cross-border money movement where they're help doing the processing for a different company's payment needs.

And really, they have an orientation in gaming. We really like the company, although it is significantly overleveraged. They're paying down debt. They continue to grow. There's really been a late CEO. There's really been a turnaround trying to get things operationally tight while continuing to grow. But the biggest thesis behind PaySafe is that they have a digital wallet subsidiary that is If you look at the value of that, it makes up 60%, 70% of the enterprise value of the whole company. They would just sell that off at nine, 10 times earnings, which it's a very portable business as well. So they own an asset, which makes up a huge portion of the EV. in view of the value of the company. Not a lot has to go right for there to be a re-rating, but there is some hair on it with leverage. Yeah, they do owe 2.5 billion relative to their book value of 600 million. Their revenues have not grown nearly as much as the other companies you said. So are they more of a stable player? Yes, single digits. They've also sold off some assets. So organically, it's better than it screens.

And it's really around high similar digit growth. So you sound like you really like this business because it's exceptionally cheap. What else do you like about it other than it's cheap? I like the play on gaming prediction markets. There's a lot of business growth there and there's a lot of payment processing that needs to be done there. It's not the stripes of the world. The addings of the world typically stay away from that kind of business. And you have a specialized processor that can focus. on that segment of the economy. And, you know, there's just a lot of growth and growth to participate in there. How do you assess the threats to the payment world, specifically cross-border of crypto and stablecoins? So stablecoins. Oh, I'm going to go to Europe. I'm just going to transfer it on stablecoins. You hear that all the time. And stablecoins, transaction volumes are growing at ridiculously high rate, admittedly from super small Levels and a large percentage of that is just cryptocurrency speculation But like you know

theoretically like a company could move millions of dollars from the US to Europe on a very cheap Mechanism not using wise not using remittly. What's your reaction to that? You have seen a lot of announcements around companies using stablecoins in a treasury function And again, this gets around correspondent banking, which I think is really going to be the loser of all that That being said, that isn't really where Wise or at least use case anyway, is not really helping companies with their treasury function. It's at the end of the day is about consumers and small businesses and what they're doing to move money and to make payments and so on. Again, like you had mentioned, stablecoins is being used primarily in a crypto function. Overwhelmingly, it's being used in a crypto function until we actually start to see people use.

stablecoins in their local economies to make payments for goods and services I'm not worried about it at all the data is just not yeah I mean there's some there's some examples where you know in Africa or something where the banking system is completely broken down and people are using stablecoins to pay for things but other than that there's actually zero eight zero cases of people people actually using stablecoins like they're using fiat it just isn't happening at all you know, there was a lot of fear that I know circles come down significantly as a result of kind of this narrative fading. But yeah, it's just, it's just not a thing. Yeah. Yeah. That's, that's funny. Any other views on other payment stocks? Interesting. I pulled up a fintech ETF. The biggest holding is actually Robinhood, which is now. So yeah, Robinhood block by serve.

global payments, affirm, toast, any, any, any thoughts? The big trend there is a lot of it is moving towards, you know, like that, you know, a lot of that are providing this kind of vertical, verticalized software solution that includes payments, you know, they'll do your, you know, inventory management, they'll do your, you know, everything that's like the nervous system of your entire enterprise and it also has payments kind of built in. So like the processing part is becoming commoditized and the value seems to be accruing to, you know, the application layer to the kind of toast in the world. So that's why, you know, if you're investing in one of these companies, they have to do more than just processing. It has to be something special about what they're doing. You got to be able to defend

their mouth. Yeah, that would be my only take there. We did stay away from PayPal. We actually like Braintree. We like their processing segment.

What we didn't like was a brand name. We just really okay. So you didn't like the part of PayPal that was making the most money. You liked the part that wasn't making that much money, which actually does kind of make sense to me because what was growing was the unprofitable part brain tree. What was not growing was the branded checkout because, you know, people aren't using that anymore. Right. It's high margin business. And there's just a lot of vulnerability there because it's hard to see the future growth. So there's, there's just a lot of vulnerability in the brain and payment side. The brain tree side, you know, volumes are growing like crazy. I don't remember exactly the profitability profile of that business, but there were scale economics to be had. And, um, yeah, put it all together reason like it, just given how profitability of the brain and side of things were. That makes sense. Fun fact for people is that brain tree, which was sold to PayPal, the founder is Brian Johnson, the guy who's trying to live forever, who didn't post it on Twitter all the time. Yeah. He used to go kind of door to door and.

uh, sell kind of, you know, processing solutions to, you know, small, like, convenience stores and stuff like that. Yeah. So start off as really a salesman. That is, that is interesting stuff. Well, I mean, I know we've covered a lot of ground. Um, there's, well, there's a lot of, a lot of health stuff, health stocks, you follow. Obviously we want to leave some stuff, uh, for, for the subscribers behind your paywall. People got to, people got to subscribe. Um, but I mean, yeah, I really, I really like the work that you guys, you guys do. Thanks, Jack. Yeah, it helps that it's fun. Well, guys, we will leave it there. I really appreciate the work that you do. Congrats on the great track record. And people can find out more about the work you do at Pernaus Research by clicking the link in the description. And again, folks can get through the monetary matters link a 20% discount to a quarterly subscription. Thank you everyone for watching. Please subscribe to the monetary matters YouTube channel and leave a rating and review on Apple podcast and Spotify.

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